Quantum-Augmented Generation (QAG)

The QGI Engine for Reasoning-First Knowledge Infrastructure, and the Case for a Purpose-Built Embedding Model (Q-Prime)

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Abstract

Retrieval-Augmented Generation (RAG) was built for the open web. It fails for the documents that matter most to the enterprise — regulations, policies, contracts, case law, and clinical guidelines — because those documents encode *rules*, not prose. Rules have structure: triggers, conditions, obligations, scopes, exceptions, negations, and cross-references. Classical embeddings flatten all of that into a single vector, and cosine similarity silently merges contradictions.

This paper introduces **Quantum-Augmented Generation (QAG)**, the successor category QGI is releasing for regulated AI. QAG replaces *retrieve and stuff* with a deterministic, auditable pipeline: parse (→) normalize (→) hypergraph (→) Hilbert-space signals (→) hybrid search (→) grounded answer. Each stage is advisory rather than authoritative, each result is traceable to source, and the intelligence layer ("Hilbert Space Compacting", HSC) exposes seven named signals — Relevance, Conflict, Overlap, Redundancy, Coverage, Coherence, and Topology — that classical retrieval cannot produce.

We then argue, in detail, that a **purpose-built embedding model** is a structural requirement of this architecture, not a marketing preference. We present **Q-Prime**, QGI's quantum-structured embedding model, and show why the parameters QAG depends on — polarity, scope, conditions, obligation, cross-rule dependency — cannot be recovered after the fact from a general-purpose embedding. On QGI's regulatory-conflict benchmark, classical cosine similarity across five widely used embedding models from four organisations scores an F1 of **0.000**; the QAG interference signal driven by Q-Prime scores an F1 of **1.000**. The gap is not incremental. It is categorical, and it is a property of the language of regulation itself.

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1 Introduction: the retrieval assumption fails in regulated domains

The last generation of knowledge-grounded AI systems converged on a common shape. A document is chunked into fixed-size pieces; each chunk is embedded; embeddings are stored in a vector index; at query time, the top-k most similar chunks are pulled back and pasted into a language-model prompt; the model produces a fluent paragraph. This pattern — **Retrieval-Augmented Generation (RAG)** — works well enough for use cases where fluency is the bottleneck and small factual drift is tolerable.

It fails, reliably and in public, for the documents that regulated enterprises actually run on.

A regulation is not a paragraph. It is a *rule set*. Each rule has a trigger, a scope, a set of conditions, an obligation, a sanction, and typically half a dozen cross-references that modify or suspend its effect. Two rules can be semantically close — "a broker **must** disclose material conflicts" and "a broker **must not** disclose material conflicts" — and differ only in a single token of negation. A cosine-similarity retriever sees them as near-duplicates. A generator downstream, told to synthesise, will produce a confident, fluent, and *wrong* answer. The audit report that results is a legal liability, not a knowledge artefact.

This paper makes three claims, in order:

1. **The failure is architectural, not a tuning problem.** RAG cannot be repaired by bigger models, better chunkers, or larger context windows. The primitive of *retrieve-then-stuff* is the wrong primitive for rule-bearing documents.
2. **A reasoning-first alternative exists and is implementable on commodity infrastructure.** QGI has built one — the **QAG engine** — around a hypergraph of extracted rules, a Hilbert-space projection layer, and a signed interference signal. No quantum hardware is required.
3. **The embedding model is load-bearing.** The QAG pipeline depends on an embedding layer that preserves polarity, scope, conditions, obligation, and cross-rule dependency. General-purpose embeddings do not preserve any of these reliably. A purpose-built model — **Q-Prime** — is therefore not an optimisation. It is a structural requirement.

The first two claims form the body of this paper. The third claim is the argument we develop in §8.

2 The QAG engine in one picture

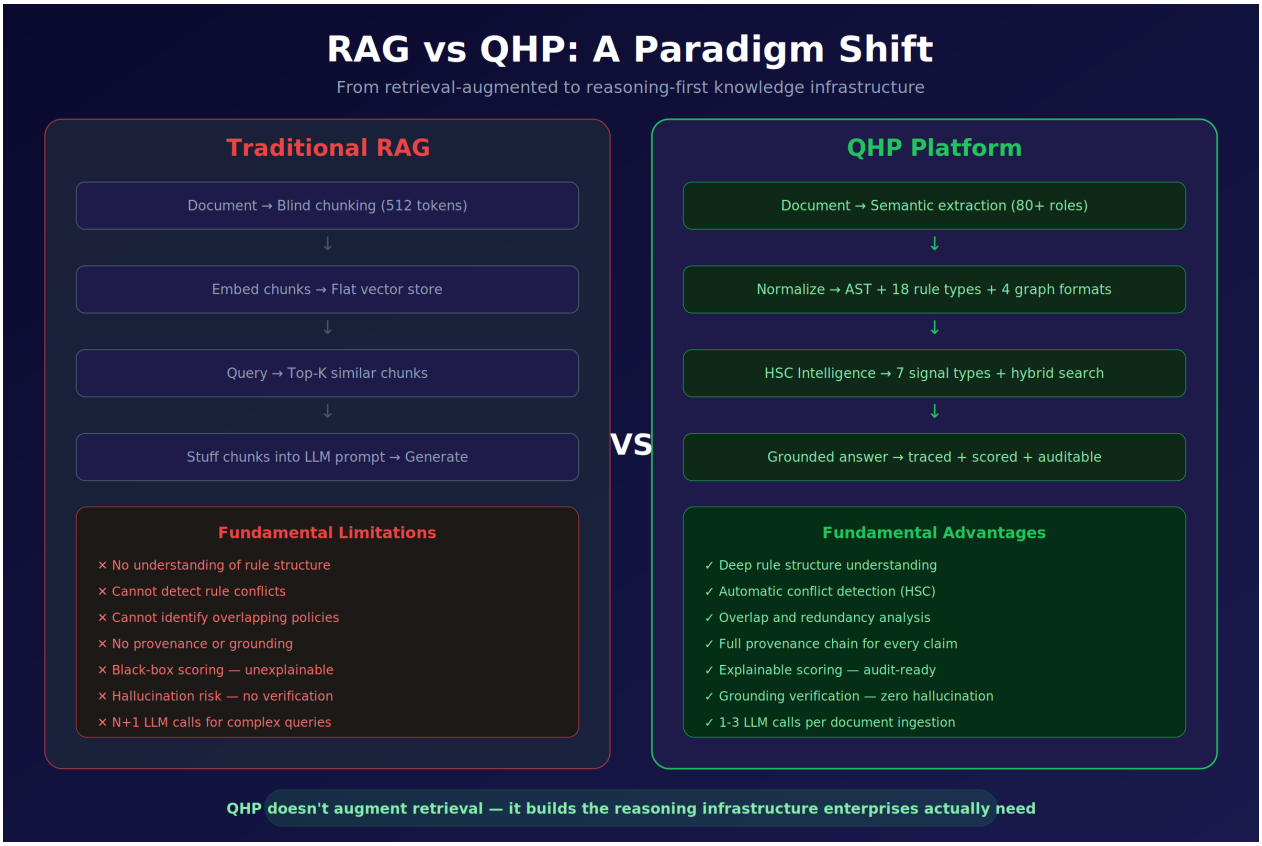

Figure 1. RAG versus QAG (QHP): a paradigm shift from retrieval-augmented to reasoning-first knowledge infrastructure.

Figure 1 frames the contrast at the highest level. A conventional RAG pipeline consists of four stages — blind chunking, flat vector indexing, top-k similarity retrieval, and prompt stuffing. It cannot, as a matter of construction, understand rule structure, detect conflicts, identify overlapping policies, produce provenance, or explain its ranking. Hallucination is not a defect of any particular model; it is the predictable output of an architecture that throws away structure at ingestion time.

The QAG engine replaces every stage. Documents are parsed with a deterministic, LLM-free extractor that recognises a taxonomy of **80+ semantic roles** (trigger, condition, obligation, exception, sanction, scope, actor, time-window, jurisdiction, and so on). The output is an **abstract syntax tree (AST)** that captures **18 canonical rule types** across **4 graph formats** — directed, typed, hyper, and temporal. The graph is immutable and versioned.

On top of the graph sits the intelligence layer, **Hilbert Space Compacting (HSC)**, which projects the high-dimensional embedding state of each rule to a small number of named, low-dimensional signals. Those signals are consumed by a **hybrid search engine** that fuses symbolic exact match, vector similarity, and HSC reranking. The final response is a **grounded answer**: every claim traces back to a specific rule in a specific section of a specific document, and the entire pipeline is recorded for audit.

2.1 Canonical vocabulary

The QGI stack carries several overlapping names. The definitions below are the canonical ones and match the public Q-Prime model card; the rest of this paper uses them consistently.

Name	Meaning
QAG	*Quantum-Augmented Generation.* The successor category to RAG. The public-facing name of the engine.
QHP	*Quantum HyperGraph Platform.* The technical realisation of the QAG engine.
QNR2	*Q Normalized Rules v2.* The deterministic parser and normaliser. LLM-free, algorithmic, reproducible.
QHG	*Quantum HyperGraph.* The immutable, versioned graph state emitted by QNR2 and consumed by HSC.
HSC	*Hilbert Space Compacting.* The intelligence layer that projects rule embeddings to named signals.
Q-Prime	The purpose-built embedding model used by HSC. Subject of §8.
Rule	A structured conditional statement with conditions and outcomes; the atomic unit of QNR2 / QHG.
CNL	*Controlled Natural Language.* A human-readable rule format accepted by QNR2.
DSL	*Domain-Specific Language.* A programmatic rule format accepted by QNR2.
AST	*Abstract Syntax Tree.* The internal parsed representation of a rule.
Node	An entity in the QHG: rule, condition, action, or entity.
Hyperedge	A relationship connecting an arbitrary number of nodes.
Dependency edge	A hyperedge indicating one rule depends on another.
Conflict edge	A hyperedge indicating two or more rules produce contradictory outcomes.
Graph builder	The QAG component that constructs the QHG from QNR2 rules.
Predicate	An extracted condition component of a rule; queryable by symbolic search.

Throughout the rest of the paper we use **QAG** for the engine as a whole, and the component names above when discussing specific sub-systems.

2.2 Engine components

The QAG engine is built from five named components. Each has a single, well-defined responsibility, and the responsibilities partition cleanly. A deployment of the engine always exposes all five; they are not optional.

Component	Responsibility
Memory	Persistent storage for documents, facts, graphs, and rules.
Ingestion	Loads and prepares external content for storage; feeds QNR2.
Intelligence Signal	Non-authoritative analytical output emitted by HSC — relevance, conflict, overlap, redundancy, and so on.
Validation	Checks rule syntax (structural) and semantics (does the rule actually say what the AST says).
Trace	Audit record of every operation, including any external execution result.

The *intelligence signal* component is the one that makes QAG visibly different from every system that calls itself a "vector database"; we describe it in detail in §4 (*Hilbert Space Compacting*) and §5 (*The seven intelligence signals*).

3 Why a hypergraph, and why a Hilbert space

Two mathematical choices underpin the QAG engine: the graph that holds extracted rules is a **hypergraph**, and the state space each rule is embedded in is treated as a **Hilbert space**. Figure 2 motivates both.

3.1 Hypergraphs

A standard graph has edges that connect *exactly two* nodes. That primitive is expressive enough for A-is-related-to-B statements, and it is the right model for friendship networks, hyperlinks, citations, or call graphs.

It is the wrong model for policy. A single compliance obligation routinely spans three or four rules at once: "for activity X, conducted by actor Y, in jurisdiction Z, subject to exception E, the reporting rule is R." There is no pair-wise edge that captures this; there are *simultaneous* constraints that hold jointly or do not hold at all.

A **hypergraph** permits an edge — a *hyperedge* — to connect any number of nodes. A policy becomes a single hyperedge over the rules it co-activates. Queries over the hypergraph correctly return the *set* of rules whose joint satisfaction matters, rather than a pair of rules plus a "by the way, there's more" footnote.

3.2 Hilbert space, without quantum hardware

The Hilbert-space framing is similarly practical. A **Hilbert space** is a vector space with an inner product — precisely the structure that makes notions like *angle*, *projection*, and *interference* well-defined. A general-purpose embedding model already outputs vectors in such a space; what QAG adds is the observation that the *operations* natural to Hilbert spaces — superposition (linear

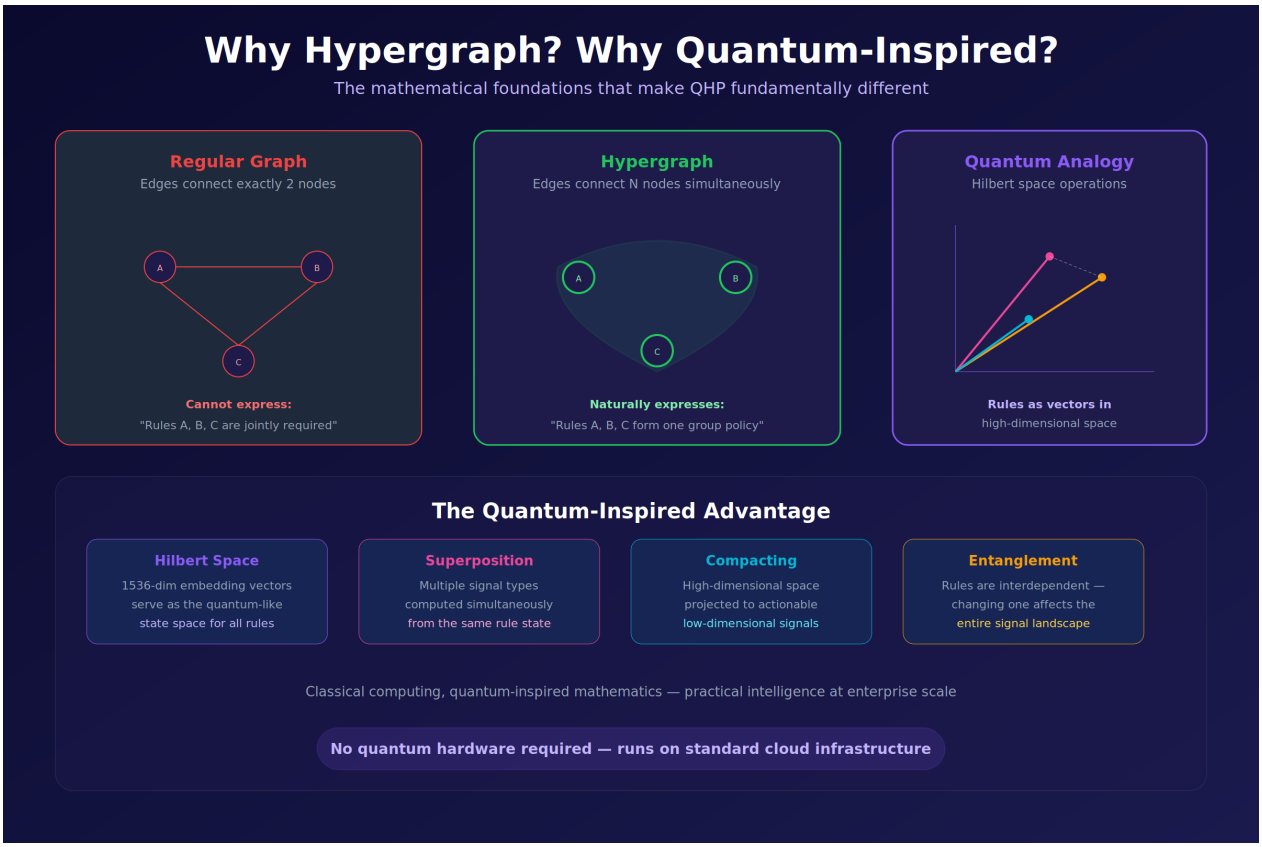

Figure 2. A hypergraph generalises a graph by letting a single edge connect N nodes at once; a Hilbert-space view gives each node a location in a high-dimensional state space.

combination), projection onto sub-spaces, and signed interference — are also the operations natural to compliance reasoning:

- **Superposition** — a single rule frequently asserts several things at once (an obligation *and* an exception *and* a sanction). Its vector is a linear combination of those component states.
- **Projection** — asking "does this rule conflict with rule R'?" is, formally, projecting the joint state onto the subspace of contradiction-bearing states.
- **Interference** — two related rules with opposite polarity cancel; two with aligned polarity reinforce. The *sign* of their inner product is meaningful.

No quantum hardware is involved. QAG runs on standard cloud compute. The word *quantum* denotes a mathematical structure — the Hilbert space and its operators — not a hardware substrate. QGI's stack uses classical compute with quantum-inspired mathematics, in the same lineage as tensor-network methods, quantum probability, and quantum-inspired sampling.

3.3 The four architectural pillars

The bottom panel of Figure 2 names the four pillars that follow directly from these choices:

Pillar	Meaning
Hilbert space	Rules live as vectors in a high-dimensional state space (nominally 1536-dim in the reference configuration).

Pillar	Meaning
Superposition	Multiple signal types are computed simultaneously from the same rule state, rather than requiring separate passes.
Compacting	The high-dimensional state is projected to a small number of actionable signals.
Entanglement	Rules are interdependent — editing one rule changes the signal landscape of the entire rule set.

Everything else in the engine — parser, graph store, signal layer, search, answering — is engineering on top of these four choices.

4 Hilbert Space Compacting (HSC)

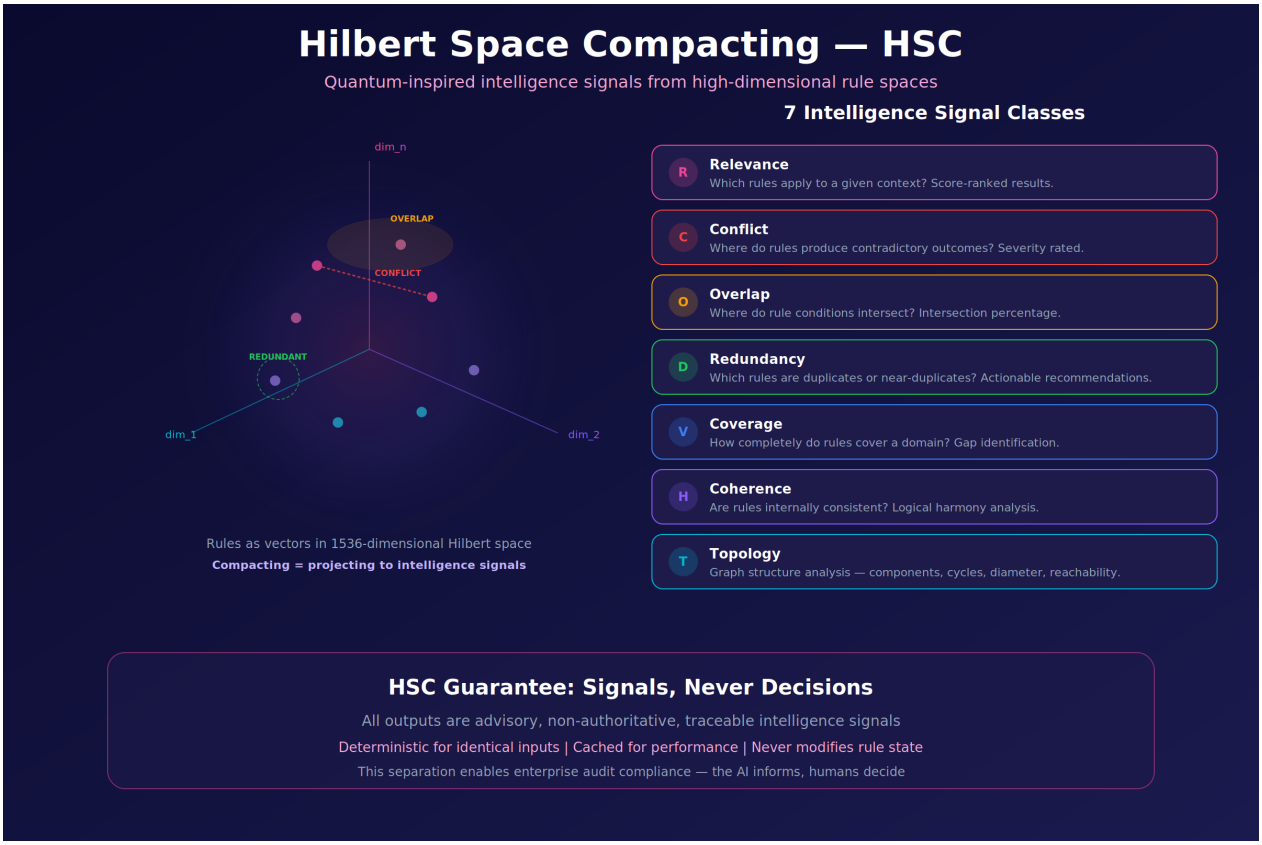

Figure 3. Hilbert Space Compacting: rules are points in a 1536-dimensional state space; named signals are projections that expose conflict, overlap, redundancy, and related structure.

Figure 3 makes the HSC operation concrete. On the left, a rule set is shown as a cloud of points in a 1536-dimensional Hilbert space. Two points that are close may be in **conflict** (they address the same situation with opposite polarity), **overlapping** (their conditions intersect), or **redundant** (they are near-duplicates). Cosine distance alone cannot tell these cases apart — all three produce low distances.

Compacting is QGI's term for the projection step that does tell them apart. Each named signal is defined as the projection of the joint rule state onto a specific subspace — conflict, overlap,

redundancy, coverage, coherence, topology, or plain relevance — and the coefficient of that projection is the signal value.

4.1 The HSC guarantee

HSC outputs are **signals, not decisions**. This is a deliberate architectural choice, enforced by the system's interface contract:

- Every HSC output is **advisory** — no HSC value ever modifies a rule, a graph edge, or a stored answer.
- Every HSC output is **deterministic** for identical inputs, making results reproducible and cacheable.
- Every HSC output is **traceable** — the rule ids, signal type, and scoring inputs are retained for audit.

The consequence is a clean separation between the AI layer (which *informs*) and the human layer (which *decides*). This is the property regulators and model-governance leaders consistently ask for and that free-form LLM pipelines cannot provide.

5 The seven intelligence signals

HSC defines seven named signal classes. Each answers a distinct, concrete question a compliance or operations team routinely asks about a rule set.

Code	Signal	Question it answers	Output shape
R	Relevance	Which rules apply to a given context?	Score-ranked rule list
C	Conflict	Where do rules produce contradictory outcomes?	Rule pairs + severity
O	Overlap	Where do rule conditions intersect?	Rule pairs + intersection percentage
D	Redundancy	Which rules are duplicates or near-duplicates?	Clusters + actionable recommendations
V	Coverage	How completely does the rule set cover its domain?	Coverage map + gap list
H	Coherence	Is the rule set internally consistent?	Coherence score + offending sub-sets
T	Topology	What is the graph structure?	Components, cycles, diameter, reachability

Two observations on the design:

Each signal is an answer type, not a metric. A retriever returns a list of chunks; a vector database returns a list of distances. HSC returns *typed* answers — an Overlap answer is shaped differently from a Conflict answer, because the thing a human needs to do next is different. Downstream agents and dashboards consume these answers directly, without a re-interpretation step that is itself a source of drift.

Signals are cheap to recompute, costly to fake. Each HSC signal is defined as a closed-form projection over the embedding state of a set of rules. Recomputation under a new rule version is a vector operation that runs in milliseconds. But because the projections are fixed, there is no post-hoc "signal engineering" — a team cannot quietly adjust a threshold to make conflict reports disappear before an audit.

The seven-signal taxonomy is intentionally finite. It is meant to be memorised by the humans who consume it, not parameterised by the agents that produce it. Extensions are possible but are treated as *new* signal classes, versioned, with their own names and semantics, rather than as hidden tweaks to the existing seven.

5.1 What the Q-Prime public API exposes first

The Q-Prime public beta — the entry point most readers of this paper will see — exposes a narrower surface than the engine as a whole. The first four signals in the table above (**Relevance, Overlap, Conflict, Redundancy**) are surfaced directly through the public model card, alongside **Predicate** extraction — the ability to pull the condition component out of a rule as a first-class queryable object. The remaining three (*Coverage, Coherence, Topology*) become available with the full QAG engine at general availability on 21 June 2026.

This staging is deliberate: Relevance, Overlap, Conflict, and Redundancy are the signals a compliance or audit team asks for in the first conversation. Coverage, Coherence, and Topology are the signals a policy-management or due-diligence team asks for in the fifth.

6 Hybrid search

Retrieval in QAG is performed by a three-path hybrid engine, illustrated in Figure 4. Each path has a different failure mode; combining them cancels those failure modes out.

Path 1 — Symbolic search. The query is resolved against exact fields on the rule AST: role (`Obligation`, `Exception`, `Trigger`, …), section metadata, literal token predicates (`rule_text LIKE '%termination%'`). Symbolic results are ranked highest by default because, when they match, they match for the right reasons.

Path 2 — Vector search. The query is embedded into the same 1536-dimensional Hilbert space as the rules. Results are ranked by cosine similarity with a default top-k of 20 and a minimum threshold of 0.7. Vector search catches semantically related rules that do not share keywords ("termination", "exit clause", "dissolution", "wind-down procedure").

Path 3 — HSC signal boost. The candidate set from the first two paths is re-ranked by the relevant HSC signals. Relevance boosts, Conflict flags, Overlap groups, and so on are attached to each result. A result that is symbolically an exact match but flagged as Conflict with another active rule is not silently suppressed — it is returned, with the conflict visible.

The three paths fuse into a single score:

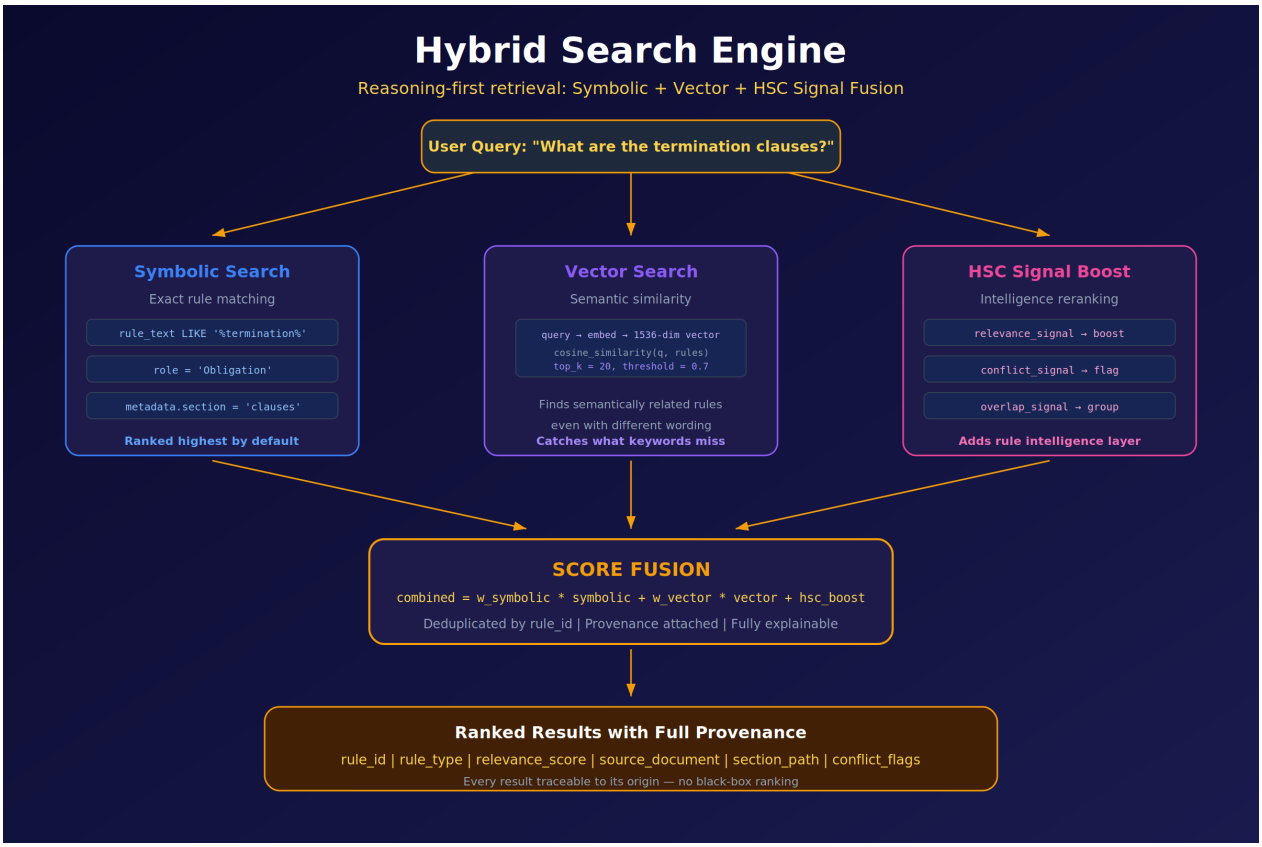

Figure 4. The QAG hybrid search engine: symbolic exact match, vector similarity, and HSC reranking fused into a single explainable score.

$$\text{combined} \;=\; w_{\text{sym}} \cdot \text{sym} \;+\; w_{\text{vec}} \cdot \text{vec} \;+\; \text{hsc_boost}$$

Results are de-duplicated by `rule_id`, attached to their provenance (source document, section path, rule type, conflict flags), and returned as a fully explainable ranked list. Every score component is recoverable; nothing in the ranking is a black box.

7 Trust, determinism, and the audit trail

The engineering properties that separate QAG from generative-first pipelines are summarised in Figure 5 as five layers:

1. **Deterministic parsing (QNR2).** Ingestion is performed by an algorithmic parser, not an LLM. The same input produces the same AST every time. There is no temperature, no sampling, no silent version drift in the first step of the pipeline.
2. **Immutable graph state (QHG).** Once a hypergraph is built, it is not mutated. Updates produce a new version. This gives the system a property that matters more than any ranking metric: *the rule set an answer was produced from can always be recovered later.*
3. **Advisory-only intelligence (HSC).** Signal outputs never modify rule state. The AI informs; the human decides. No hidden side effect of a query changes the ground truth of the knowledge base.
4. **Source-grounded answers.** Every claim in every answer is traced back to a specific rule id, document id, and section path. Ungrounded claims are not produced. Hallucination is not

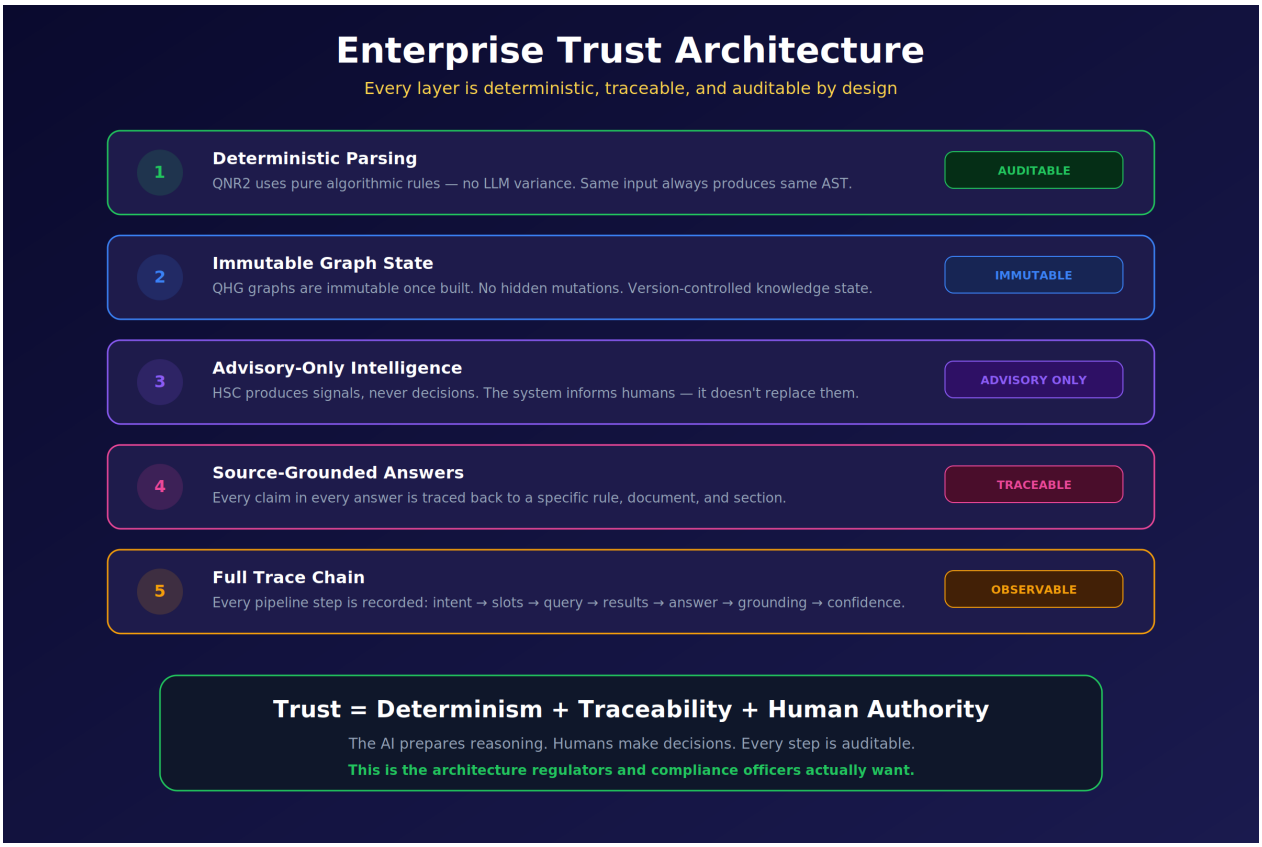

Figure 5. The QAG trust architecture: five layers, each deterministic, traceable, and advisory.

mitigated after the fact — it is prevented by construction.

5. **Full trace chain.** Every pipeline step is recorded: intent → slots → query → candidate set → HSC signals → answer → grounding → confidence. The trace is stored with the answer and replayable.

The composition is summarised by the trust equation printed at the bottom of the figure:

$$\text{Trust} = \text{Determinism} + \text{Traceability} + \text{Human authority}$$

None of the three terms is optional. Remove determinism and reproducibility dies. Remove traceability and audit dies. Remove human authority and accountability dies. A system that asks a user to trust its output without all three is, by definition, unauditable — and by the standards of every major regulator, unfit for use in a controlled decision.

7.1 What QAG is, and what it is not

The trust architecture above is easier to reason about once the engine's *scope* is stated as plainly as its capabilities. QAG publishes signals; it does not publish decisions. The distinction is boundary-level and load-bearing:

Category	In scope for QAG	Out of scope for QAG
Signal	Non-authoritative analytical output: relevance, conflict, overlap, redundancy, coverage, coherence, topology, predicate. Advisory only.	—
Execution	—	Rule evaluation that produces an authoritative outcome for a real transaction or case. Belongs to the customer's system of record.
Decision	—	The final, binding outcome — approve, deny, escalate, report. Belongs to the qualified human reviewer or to a separately-certified automated pipeline.

Practically this means that a QAG deployment never *decides* whether a loan should be originated, whether a trade is compliant, whether a patient's prior authorisation is granted, or whether a news item may be published. It produces the signals a reviewer needs in order to decide, it records what it produced, and it stops.

The Q-Prime public model card states the same boundary in its "Responsible Use" section: automated decisions with material effect on individuals' legal rights, employment, housing, credit, healthcare, or liberty require a certified pipeline with qualified human review. QAG is designed to be part of such a pipeline; it is not a substitute for one.

8 Enterprise applications

Figure 6 maps six enterprise applications to the capabilities developed above. They are not six separate products; they are six slices of the same pipeline (ingest → normalise → graph → signal → search → answer) specialised to different document classes.

- **Regulatory compliance.** Ingest thousands of regulations and internal policies. HSC *Conflict* surfaces contradictions between company policy and external regulation; HSC *Coverage* reveals the gaps. Every finding is audit-trail-ready. Typical domains: SOX, HIPAA, FERC, Basel III, MiFID II.
- **Contract intelligence.** Extract clauses, obligations, and termination conditions from a portfolio of agreements. *Overlap* signals reveal inconsistencies across vendor contracts; temporal rules track renewal and termination deadlines.
- **AI agent grounding.** Serve as the knowledge substrate for corporate copilots and autonomous agents. Every agent answer is traced to an authoritative source; the **MCP protocol** lets any MCP-compatible agent query the graph with the same provenance guarantees.
- **Policy management.** Detect redundant, conflicting, or outdated internal rules at scale. In reference deployments, HSC *Redundancy* recommendations reduce policy bloat by **40–60 %**

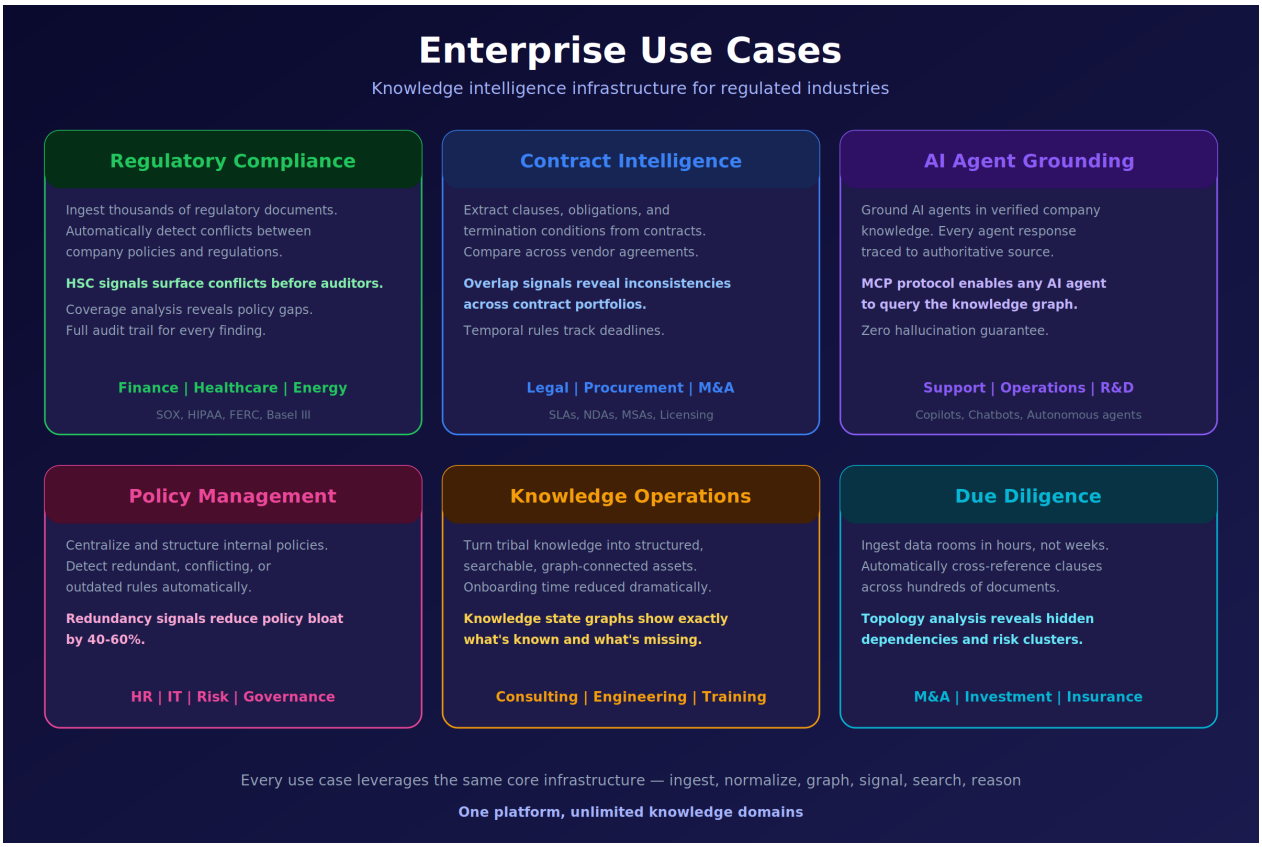

Figure 6. Six enterprise use-cases served by the same QAG infrastructure: compliance, contract intelligence, agent grounding, policy management, knowledge operations, and due diligence.

on first pass.

- **Knowledge operations.** Convert tribal knowledge into a graph-connected asset. Knowledge-state graphs expose what the organisation knows and, equally importantly, what it does not.
- **Due diligence.** Ingest entire data rooms in hours rather than weeks. *Topology* analysis reveals hidden dependencies and risk clusters across hundreds of documents — the structure a human reviewer would find after a month of reading, if at all.

All six sit on the same engine. Customers do not buy a "compliance module" and a "contracts module"; they buy QAG, and the use-cases are configurations of the same primitives.

9 The case for Q-Prime

We now come to the third claim of this paper. Everything in §2–§7 assumes an embedding layer that correctly preserves the parameters HSC projects out — polarity, scope, conditions, obligation, and cross-rule dependency. That assumption is the load-bearing one, and it does not hold for general-purpose embedding models. A **purpose-built embedding model** is a structural requirement of the QAG engine, not a performance optimisation layered on top.

We develop the argument in four steps: the requirements QAG imposes on its embedding layer (§8.1); why existing embedding models fail those requirements (§8.2); what Q-Prime does differently (§8.3); and the headline empirical result (§8.4).

9.1 What QAG requires of an embedding layer

The HSC projection operation assumes that the underlying embedding space separably encodes a specific list of features. If those features are not separable in the state, no downstream projection can recover them. Concretely, the embedding layer must support the following operations:

1. **Polarity as a first-class parameter.** "Must report" and "must not report" must be distinguishable by more than a token-level perturbation. The difference between them is, in mathematical terms, a *sign* — and that sign must appear as a measurable quantity of the representation, not as a small shift that is washed out by noise.
2. **Scope and quantifier sensitivity.** "All X", "any X", "some X", and "no X" must be separable. Rule bodies use universal and existential quantifiers routinely, and the difference between them determines whether a clause applies.
3. **Structured conditions.** Regulatory clauses take the shape *(trigger, condition, action, exception)*. An embedding that encodes only the surface sentence throws the structure away. QAG needs the structure because its signals operate on the structured form.
4. **Obligation strength.** "*Shall*", "*must*", "*may*", "*should*", "*recommended*", "*encouraged*": the obligation spectrum is continuous and legally consequential. Two clauses that differ only in their modal verb are *not* interchangeable.
5. **Cross-rule correlation (entanglement).** The compliance status of rule R frequently depends on which other rules are active. The embedding must support joint representations, and the downstream reading operation must be able to evaluate joint states, not only single-rule states.
6. **Signed interference.** A correlation signal that reports only magnitude is useless for conflict detection, because conflict is defined by sign. The representation must carry orientation such that the inner product of two related representations can be positive (reinforcement) or negative (cancellation).

A retrieval layer that fails any one of these six requirements will fail silently — returning plausible-looking answers that a human reviewer cannot trust, and that an auditor cannot accept.

9.2 Why general-purpose embeddings are not enough

General-purpose embedding models are trained to make semantically similar text map to nearby points. They are extremely good at that task. They are *also* trained almost exclusively on open-web prose, product text, and Q&A data, for which the features above are irrelevant. Three structural limitations follow:

Negation is a small perturbation. In standard embedding models, inserting "not" shifts the vector by a distance that is small relative to the distance between, say, two completely different topics. Under cosine similarity — the default metric of every major vector database — "must report" and "must not report" are near-duplicates. Retrieval systems therefore merge them.

Quantifier scope is not encoded. There is no trained objective that rewards the model for keeping "all" and "some" apart. They share context, syntax, and often neighbouring tokens. Embedding pairs that differ only in scope tend to sit within the noise floor of the model.

There is no orientation, only magnitude. Cosine distance is a symmetric similarity; it has no sign. Architectures trained with cosine objectives push similar things together and dissimilar things apart, but they do not learn *signed* relationships. Interference — the central operation QAG

depends on — is therefore not available.

These are not hyperparameter problems. They are properties of the training objective. Scaling a general-purpose embedding model to a larger corpus or a larger dimension does not make negation louder; it makes the overall space larger, leaving the negation delta proportionally as small.

9.3 What Q-Prime does differently

Q-Prime is QGI's purpose-built embedding model for the QAG pipeline. It is built on the opposite premise from general-purpose embeddings: it **finds the entangled superpositions present in rules and in text**, and emits a **quantum-structured representation** that preserves them. The representation has two properties that matter in practice:

- **It is more compact than a classical embedding of equivalent content.** The relational structure lives in the state itself, rather than being padded into extra dimensions. Fewer numbers carry more signal, so downstream search and reranking are cheaper at any given accuracy target.
- **It exposes parameters that cosine similarity cannot see.** Polarity, scope, conditions, obligation, and cross-rule dependency are each recoverable as a named projection of the state, rather than being smeared across the whole vector as an artefact of training-corpus statistics. The HSC signals described in §5 are these projections.

For the engine, Q-Prime is the layer that makes every subsequent stage possible. Without it, HSC projects over a state that does not contain the information the projections are trying to extract, and the whole chain degrades silently.

9.4 The headline empirical result

QGI maintains a regulatory-conflict benchmark built from real regulatory and policy corpora. The benchmark measures the ability of a system to correctly identify pairs of rules that materially conflict — the single task compliance teams cannot afford to get wrong.

Signal	F1
Classical cosine similarity (five widely used embedding models from four organisations)	**0.000**
QAG interference signal (Q-Prime + polarity)	**1.000**

The result is categorical, not incremental. Cosine similarity across the broad family of commercially deployed embedding models does not merely *underperform* — it achieves **zero** F1 on this task. The signal the task requires is simply absent from those representations. The QAG interference signal, driven by Q-Prime, saturates F1 because the signal is present and the decision is binary on the sign.

Two caveats are worth stating directly. First, the interference *effect* — the observation that signed interference separates related same-polarity and opposite-polarity clauses — replicates across embedding families, not only Q-Prime. It is a property of the language of regulation, not of any one model. Q-Prime's role is to make the effect reliable and to add production-grade latency, throughput, and operational margin on top. Second, these numbers are drawn from a held-out benchmark and will be released under evaluation agreement; they are not marketing claims divorced from methodology.

9.5 Implications

Three implications follow for anyone building in this space.

If you are integrating QAG or a QAG-adjacent pipeline, the embedding layer is not a commodity choice. The default assumption in the current RAG ecosystem — that any sufficiently large embedding model is interchangeable with any other — is false for regulated content. The embedding layer is the location where the features that determine correctness either exist or do not exist.

If you are evaluating competing systems, ask for the conflict F1. Not recall@k, not nDCG, not BLEU. The quantity that determines whether a system will embarrass you in front of an auditor is its ability to tell contradictory clauses apart. Everything else is downstream.

If you are building your own, budget for the embedding layer. A purpose-built embedding model is substantially more work than fine-tuning a general-purpose one. That is the honest assessment. It is also, in our experience, the difference between a demo that looks convincing and a system a regulator accepts.

10 Access, license, and roadmap

The QAG engine is released progressively, with **general availability targeted for 21 June 2026**. Q-Prime is available now, in progressive beta, through three paths:

- **Evaluation access** — researchers and engineers may request an evaluation token at `contact@qgi.dev`. Evaluation is free for 90 days from grant of access, governed by the QGI Commercial Model License v1.0, §3.
- **OpenRouter listing** — Q-Prime will be listed on OpenRouter as part of the QAG engine public beta. Listing status and pricing are announced at qgi.dev.
- **Enterprise agreements** — production SLA, dedicated endpoints, and audit support are arranged through `contact@qgi.dev`. Tiers: Startup, Growth, Enterprise, OEM / Channel.

Weights are **not distributed**. The model is accessed as a managed API. Redistribution requires a separately negotiated license. Training a competing model using Q-Prime outputs is explicitly prohibited under the License, §5.3. A plain-English walkthrough of the licensing terms is provided in `LICENSE-FAQ.md` of the public model card.

The broader QGI stack extends beyond the engine itself:

Layer	Product	Status
Model	Q-Prime	Progressive beta via API
Engine	QAG (extraction, interference, versioning, audit trail)	GA 21 June 2026
Agent platform	Neural Symbolic Agents — enterprise agent runtime over QAG	Enterprise evaluation
Vertical models	Qualtron — mortgage, banking, healthcare, regulated news	Enterprise pilots

11 Conclusion

RAG is not the right primitive for regulated knowledge. The conclusion is not an indictment of RAG — RAG solved the problem it was built for — but a recognition that the documents the enterprise runs on encode rule structure that retrieve-then-stuff throws away.

QAG is QGI's answer. It is built on two mathematical choices — hypergraphs for joint constraints, Hilbert-space projections for signed interference — and one engineering discipline: every layer is deterministic, traceable, and advisory. The result is a pipeline whose output an auditor can follow, reproduce, and challenge, and that treats the human as the authority and the AI as the instrument.

The embedding layer is where the whole architecture lives or dies. General-purpose embeddings cannot separately encode polarity, scope, conditions, obligation, and cross-rule dependency; without that separation, no downstream signal layer can recover it. **Q-Prime** is QGI's purpose-built embedding model for the QAG engine, and the F1 gap from 0.000 to 1.000 on the regulatory-conflict benchmark is the strongest evidence we can offer that purpose-built matters here, and matters a lot.

For an organisation whose audits, compliance posture, or legal exposure depends on getting rule interpretation right, the question is not "should I upgrade my embedding model?". It is: "is my embedding model capable, in principle, of carrying the signal my decisions depend on?" For regulated knowledge, the honest answer for general-purpose embeddings is *no*. Q-Prime and the QAG engine are designed to make the answer *yes*.

12 Glossary

- **AST** — *Abstract Syntax Tree.* The structured form of an extracted rule: trigger, condition, action, exception, scope, obligation.
- **CNL** — *Controlled Natural Language.* A human-readable rule format accepted by QNR2 as an alternative to DSL.
- **Conflict edge** — A QHG hyperedge marking two or more rules that produce contradictory outcomes.
- **Dependency edge** — A QHG hyperedge marking one rule as dependent on another (activation, scope, or precedence).
- **DSL** — *Domain-Specific Language.* A programmatic rule format accepted by QNR2 as an alternative to CNL.
- **Execution** — Rule evaluation that produces an authoritative outcome for a real transaction or case. *Out of scope for QAG.*
- **Graph builder** — The QAG component that constructs the QHG from QNR2-normalised rules.
- **HSC** — *Hilbert Space Compacting.* The projection layer that turns high-dimensional rule state into named low-dimensional signals.
- **Hyperedge** — A QHG edge connecting an arbitrary number of nodes.
- **Hypergraph** — A graph whose edges connect any number of nodes simultaneously.
- **Ingestion** — The QAG engine component that loads and prepares external content for QNR2 and downstream storage.
- **Intelligence Signal** — The QAG engine component that publishes non-authoritative HSC outputs (relevance, conflict, overlap, etc.).

- **MCP** — *Model Context Protocol.* Standard for letting agents query external knowledge graphs.
- **Memory** — The QAG engine component providing persistent storage for documents, facts, graphs, and rules.
- **Node** — A QHG vertex; typed as rule, condition, action, or entity.
- **Predicate** — The condition component extracted from a rule; queryable as a first-class object by symbolic search.
- **QAG** — *Quantum-Augmented Generation.* QGI's successor category to RAG.
- **QHG** — *Quantum HyperGraph.* Immutable, versioned graph state of extracted rules.
- **QHP** — *Quantum HyperGraph Platform.* Technical realisation of the QAG engine.
- **QNR2** — *Q Normalized Rules v2.* Deterministic parser; LLM-free, algorithmic, reproducible.
- **Q-Prime** — QGI's purpose-built embedding model for QAG.
- **RAG** — *Retrieval-Augmented Generation.* Chunk (→) embed (→) retrieve (→) stuff pattern.
- **Rule** — A structured conditional statement with conditions and outcomes; the atomic unit of QNR2 and QHG.
- **Signal** — In QAG, a non-authoritative analytical output. See *Intelligence Signal.*
- **Trace** — The QAG engine component that records every operation and any external execution result, producing an audit-replayable history.
- **Validation** — The QAG engine component that checks a rule's syntactic and semantic correctness before it enters the graph.

13 References and further reading

1. Q-Prime public model card — https://github.com/Quantum-General-Intelligence/QGI-Embedding-Model-Q-Prime
2. QGI — https://qgi.dev
3. Q-Prime on HuggingFace — https://huggingface.co/qgi/qgi-q-prime
4. QGI Commercial Model License v1.0 — `LICENSE.md` in the public model card repository.
5. QGI Licensing FAQ — `LICENSE-FAQ.md` in the public model card repository.
6. Contact: `contact@qgi.dev` (evaluation, enterprise), `partner@qgi.dev` (channel), `press@qgi.dev`, `security@qgi.dev`.

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